

Monetary Policy Statement

January - June 2018

Bangladesh Bank

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UNITY, a sculpture by Hamiduzzaman Khan
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Monetary Policy Department and Chief Economist's Unit
Bangladesh Bank
www.bb.org.bd

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Highlights

- Sharp above-trend upturns in imports and in credit to private sector appear to indicate a much-awaited robust pickup in investment and output activities, supported by progress in addressing infrastructural deficiencies, robust domestic demand, and a broad-based pickup in global output and trade growth. Besides increased food grains imports due to flood-related crop losses and depletion of public food grain buffer stocks, import increases mainly comprise capital machinery and production inputs. These bode well for growth going forward, but also poses near-term challenges of containing monetary growth-driven inflationary pressures and of protecting external sector balance of payments (BOP) sustainability.
- Excess liquidity from FY17 largely met the monetary demand from increased economic activity, keeping domestic credit (DC) growth at 14.5 percent, in line with the 14.5 percent H1 FY18 program target, even with private sector credit growth (18.1 percent) substantially overshooting the 16.2 percent H1 FY18 program target.
- Moderation of the transient external imbalance from credit-fueled high import growth to a sustainable trend will accordingly be a key priority for monetary and macro-prudential policies in H2 FY18, besides keeping in check the inflationary risks from rising global commodity prices and any spillovers from food to non-food inflation from any undue exuberance in domestic credit expansion. The H2 FY18 monetary program and its attendant macro-prudential measures will seek to address this priority mainly by intensive, intrusive supervision focusing on quality and sectoral composition of credit flows rather than by any blanket curb restricting access to credit for productive pursuits.
- Given the global and domestic inflation outlook, H2 FY18 monetary program retains domestic credit growth ceiling unchanged at 15.8 percent, adequate to accommodate the targeted 7.4 real GDP growth with up to 6.0 percent annual average inflation. Continued negative trend of government's bank borrowing is projected to leave room for higher 16.8 percent FY18 private sector credit growth, against previous projection of 16.3 percent. Reserve money (RM) growth and its attendant inflationary impact will remain moderate in H2 FY18, aided by the government's likely negative or small bank borrowing; expected near-zero net foreign assets (NFA) growth due to high import payment outflows will result in moderation in broad money (M2) growth to 13.3 percent, against the earlier projection of 13.9 percent.
- Repo and reverse repo policy interest rates will for the time being be left unchanged at 6.75 and 4.75 percent, respectively. Macro-prudential steps to curb imprudent unproductive lending include: (a) intensive surveillance on adherence to prescribed Asset-Liability Management (ALM) and Forex Risk Management guidelines; a new directive requiring banks to rationalize their Advance/Deposit Ratios to curb their overexuberance in lending; increased surveillance on the end use of bank loans including import finance; (b) encouraging banks to avoid unduly high medium- or long-term investment financing exposures to corporate borrowers, helping instead corporate bond issuance in the capital markets, using banks only as interim bridge financing windows; (c) Taka's market pressure-driven depreciation against USD, coupled with depreciation of USD itself against other major currencies is helping restore external balance by enhancing export competitiveness and workers' remittance inflows. Preventive and punitive steps against the abuse of mobile phone accounts in illegal hundi operations are also shoring up banking channel remittance inflows.
- Furthermore, steps are on towards getting banks more proactively engaged in mobilizing foreign savings of Non-resident Bangladeshis (NRBs) by promoting sales of government's Wage Earners' Development Bonds, and also in attracting NRB portfolio investments in Bangladesh capital markets by opening and managing Non-resident Investment Taka Accounts (NITAs) in their names. Besides augmenting inflows into the forex market, these will also help increase equivalent Taka liquidity in the financial and capital markets. Work underway on further simplifying banking channel transaction procedures relating to exports of goods and services through internet-based e-commerce platforms will also help further in augmenting forex inflows.

Monetary Policy Statement

The Second Half of the Fiscal Year 2018: January-June 2018

This Monetary Policy Statement (MPS) reports Bangladesh Bank's monetary policy stance for the second half (H2) of FY18 as the second leg of its monetary program for FY18. As before, the monetary program and the monetary stance for H2 FY18 have been formulated taking into account actual outcomes for H1 FY18, domestic and external sector developments, and feedback from stakeholder consultations with cohorts of academics and policy analysts, current and former policymakers, real and financial sector businesses.

Monetary Policy Performance for H1 FY18

Onset of a much-awaited strong pickup in domestic investment and output activities came about in H1 FY18, underpinned by substantial easing of infrastructure constraints, robust domestic demand, and a broad-based pickup in global output growth. Taka liquidity overhang from FY17 largely served the purpose of meeting the monetary demand from increased economic activity, keeping domestic credit (DC) growth at 14.5 percent, in line with the 14.5 percent H1 FY18 program target, even with private sector credit growth of 18.1 percent, substantially overshooting the 16.2 percent H1 FY18 program target. Decline in government's bank borrowing (due to high net sales of non-bank National Savings Certificates) helped ease pressure on banking system liquidity, besides moderating reserve money growth and its inflationary impact. Net foreign asset (NFA) growth (0.5 percent at Taka/USD exchange rate as of end-FY17) trailed far below H1 FY18 target of 7.0 percent, with a sharp rise in imports driving current accounts into a deficit, triggering forex reserve depletion and Taka depreciation.

In terms of the output and price objectives, strong domestic demand, aided by strong private sector credit growth, growing exports and remittance, has supported robust economic activities and has kept the economy on track to attain a 7 plus percent FY18 GDP growth. Although weather-related supply shocks and rising global commodity prices have nudged up the food component of CPI inflation up to 7.2 percent and overall inflation to 5.7 percent in December, non-food inflation remains modest at 3.5 percent. Moderation of the transient imbalance from credit-fueled high import growth to sustainable trend will be a key priority for monetary and macro-prudential policies in H2 FY18 and will be important to keep in check the inflationary risks from rising global commodity prices and any spillovers from food to non-food inflation, against the backdrop of elevated inflation expectations.

Monetary Policy Stance for H2 FY18

Alongside price and macro-financial stability objectives, BB's monetary and financial policies embrace inclusivity and environmental sustainability dimensions in pursuit of employment creation-focused inclusive growth support, in tune with the government's SDG-focused sustainable development agenda. Monetary program for H2 FY18 and its attendant macro-prudential measures will accordingly aim at bringing back monetary aggregates to sustainable growth trends mainly by intensive, intrusive supervision focusing on quality and sectoral composition of credit flows rather than by restricting access to credit for productive pursuits.

In the near-term context of domestic and global inflation outlook, H2 FY18 monetary program retains domestic credit growth ceiling unchanged at 15.8 percent, adequate to accommodate the targeted 7.4 percent real GDP growth and up to 6.0 percent annual average CPI inflation. Continuing negative trend of government's bank borrowing is projected to leave room for higher 16.8 percent FY18 private sector credit growth, against previous projection of 16.3 percent. Net Foreign Assets (NFA) growth, driven down to 0.5 percent in H1 FY18 by high import growth-driven current account deficit, is projected to decline further to 0.1 percent in H2 FY18, even with a substantial moderation in import

growth. Reserve Money growth and its attendant inflationary impact will remain moderate in H2 FY18, aided by the government's negative or low bank borrowing.

Macro-prudential steps to curb imprudent unproductive lending would include closer surveillance on adherence to prescribed Asset-Liability Management (ALM) and Forex Risk Management guidelines; a new directive requiring banks to rationalize their Advance/Deposit Ratios to curb their overexuberance in lending; stricter end use surveillance on bank loans including import financing commitments. Banks are encouraged to avoid unduly high medium- or long-term investment financing exposures to corporate borrowers, helping instead in corporate bond issuance in the capital markets, using banks only as interim bridge financing windows.

The ongoing gradual depreciation of Taka against USD, coupled with the depreciation of USD itself against other major currencies is enhancing export competitiveness and workers' remittance inflows, helping limit BOP current account deficit. Preventive and punitive steps against the abuse of mobile phone accounts in illegal hundi operations have helped shore up official remittance inflows. Ongoing efforts of getting banks more engaged in mobilizing foreign savings of Non-resident Bangladeshis (NRBs) by sales of government's high yielding Wage Earners Bonds, and handling their portfolio investments with Non-resident Investment Taka Accounts (NITAs) for NRBs will help further augment foreign exchange inflows, simultaneously adding equivalent Taka liquidity in the financial and capital markets. Work underway on further simplifying banking channel transaction procedures relating to exports of goods and services through internet-based e-commerce platforms will also help further in augmenting forex inflows.

Global Growth and Inflation Outlook

A broad-based pickup in global activities has strengthened its momentum in recent months. Global growth is estimated to have grown by 3.7 percent in 2017 and the forecast for 2018 has been revised up by 0.2 percentage points to 3.9 percent, supported by higher investment, trade, and industrial production, coupled with increasing business and consumer confidence. The pickup in global growth in 2017 reflects firmer domestic demand growth in US, Euro area, Canada and Japan among the advanced economies and China, emerging Europe, and Russia among the emerging market and developing economies.

Table: Overview of the World Economic Outlook

GDP at constant prices	Percentage Change				Difference from October 2017 WEO Projection	
	Actual	Estimate	Projection			
	2016	2017	2018	2019	2018	2019
World	**3.2**	**3.7**	**3.9**	**3.9**	**0.2**	**0.2**
Advanced Economies	1.7	2.3	2.3	2.2	0.3	0.4
USA	1.5	2.3	2.7	2.5	0.4	0.6
Euro Area	1.8	2.4	2.2	2.0	0.3	0.3
Other Advanced Economies	2.3	2.7	2.6	2.6	0.1	0.1
Emerging Market and Developing Economies	4.4	4.7	4.9	5.0	0.0	0.0
China	6.7	6.8	6.6	6.4	0.1	0.1
India	7.1	6.7	7.4	7.8	0.0	0.0

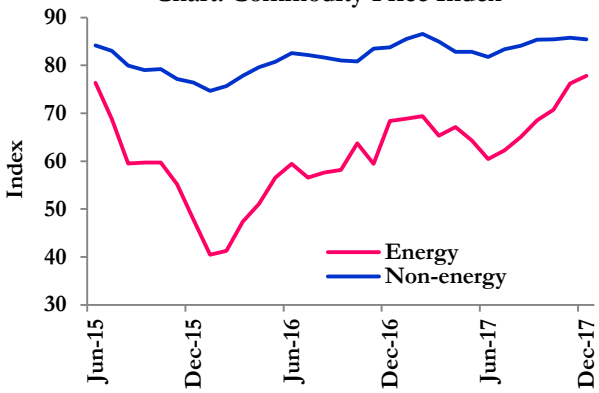
Source: World Economic Outlook Update (January, 2018), International Monetary Fund.

Looking ahead, during 2018, global growth is expected to receive support from the strengthening recovery in the euro area from rising exports amid stronger global trade performance. It is also expected to benefit from strong domestic demand, aided by supportive financial conditions and lower political risks. Japan is expected to benefit from global demand and supportive fiscal stance. China grew by 6.8 percent in 2017, underpinned by prior policy easing and some supply-side reforms. In the rest of emerging market and developing Asia, growth is expected to be strong. In India, growth in 2018 is projected to rise to 7.4 percent, up from 6.7 percent in 2017. The cyclical growth recovery in the Euro area, USA, and Canada, the main export destinations of our readymade garments, is expected to have a favorable impact on our export performance. An expected rise in commodity prices will support the oil-producing economies, a large source of Bangladesh's remittance inflows.

Global inflation rose in 2017, reflecting the continued cyclical recovery in demand and higher commodity prices. The US consumer price inflation reached 2.1 percent in 2017, up from 1.3 percent in

2016, and the euro area inflation reached 1.4 percent in 2017, up from 1.1 percent in 2016. With a stronger-than-expected recovery and higher commodity prices, headline inflation in the advanced economies will edge up to 1.9 in 2018. In 2018, both Chinese and Indian inflations are expected to increase to 2.6 and 5.5 percent, respectively.

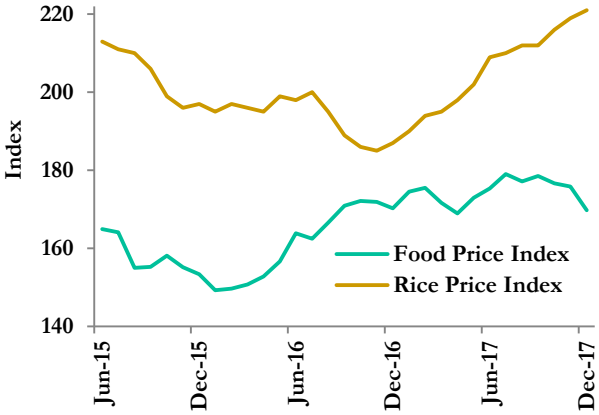
Chart: Commodity Price Index



Source: World Bank.

Since the beginning of this fiscal year, although non-energy commodity prices rose modestly, crude oil prices rose by 35 percent to over $60 per barrel by December 2017 and are expected to remain elevated in 2018. Although forecasts for agriculture and food

Chart: Food Price Index



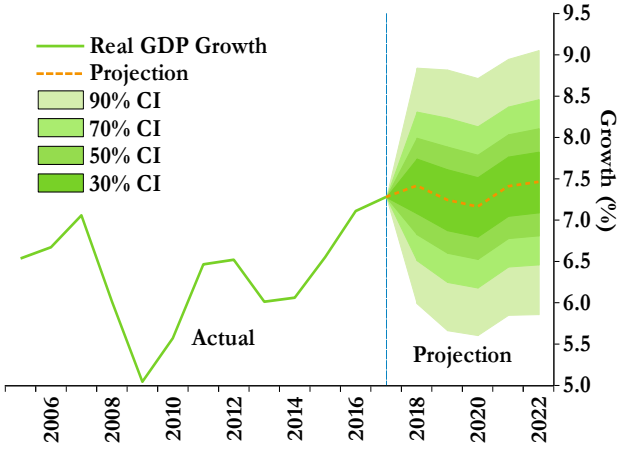
Source: Food and Agriculture Organization (FAO).

prices in the global market are likely to remain stable, according to the latest FAO market survey from January 2018, global rice prices increased by 18 percent during 2017. In Bangladesh, rice constitutes around 20 percent in the national CPI basket and is therefore an important driver of inflation and inflation expectations.

Domestic Growth and Inflation Outlook

According to the final estimates by Bangladesh Bureau of Statistics (BBS), real gross domestic product (GDP), supported by manufacturing and services, grew robustly by 7.28 percent in FY17, outperforming the average growth of 4.7 percent for emerging market and developing economies in 2017. Despite some challenges stemming from flood-related crop losses in the beginning of the fiscal year, economic activities remain buoyant in FY18, underpinned by both domestic and external demand. During July-December 2017, exports grew by 7.2 percent, up from 1.7 percent of FY17; remittance reversed its declining trend of the previous fiscal year and grew by 12.5 percent. Imports also grew sharply by 27.6 percent during July-November 2017, in part reflecting strong import demand for capital machinery and industrial raw materials, which grew by 37.5 percent and 18.9 percent, respectively. Manufacturing data also point to strong economic activity. The general quantum index of medium and large scale manufacturing industry rose by 20.6 percent during Q1 FY18, up from 7.3 percent in Q1 FY17. Based on the recent sectoral trends and econometric estimates, BB

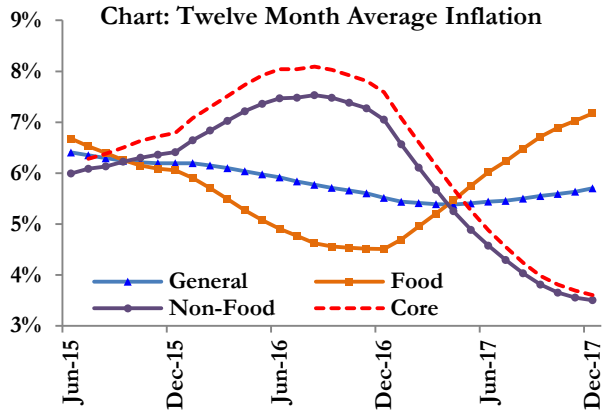
Chart: Projection of GDP Growth for FY2018-FY2022



Source: Bangladesh Bank projection.

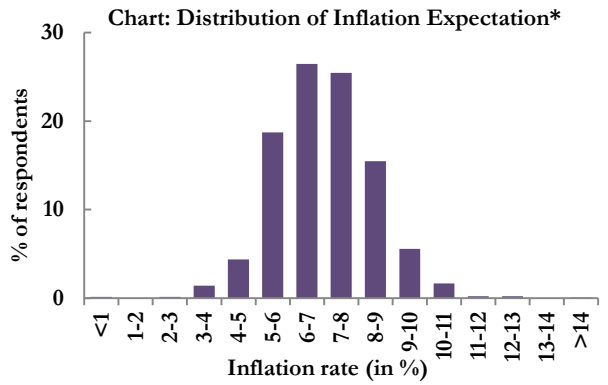
projects real GDP in the range of 7.1-7.4 percent in FY18, assuming continued political stability.

After declining through FY17, average inflation has been gradually edging up in recent months, reaching 5.7 percent in December 2017. The inflation



Source: Bangladesh Bureau of Statistics.

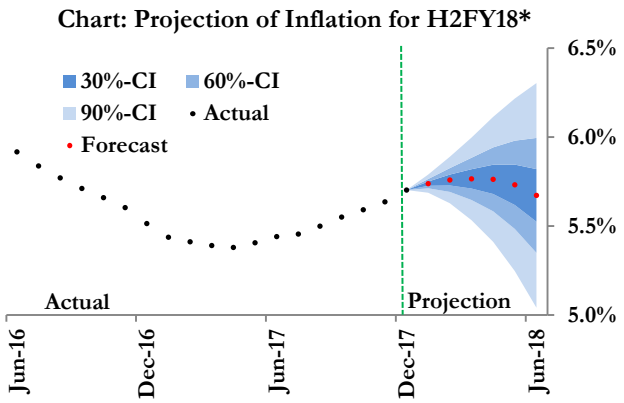
dynamics reflected rising food prices, a result of both flood-related disruptions and higher global prices. Food inflation increased to 7.1 percent (point-to-point) in December 2017, whose impact on overall inflation (5.8 percent in December, point-to-point) was moderated by declining non-food inflation, at 3.8 percent in December 2017. Higher food inflation increases the risk of second-round effects on non-food inflation for the remainder of the fiscal year. Looking ahead, inflation risks appear to be on the upside, as demonstrated by BB's inflation expectation survey. Expectation of one-year ahead average inflation is around 6-7 percent,



* One year ahead general inflation

Source: BB inflation expectations survey, December 2017.

with over 50 percent of the respondents expecting the inflation to be above 6 percent. During the remainder of the fiscal year, food inflation pressure will ease from imports and boro rice harvests. BB projections show average inflation to be around 5.7-6.0 percent in June 2018, assuming no further domestic or external shocks and a relatively favorable global inflation outcome.

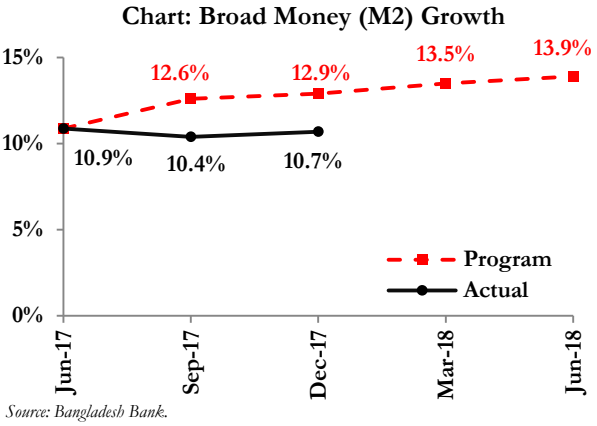


*Twelve Month Moving Average

Source: Bangladesh Bank projection.

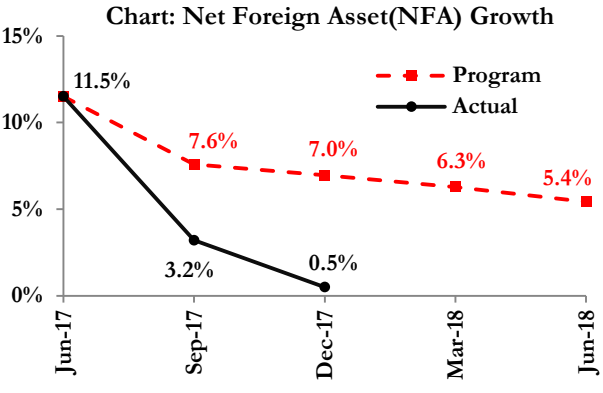
Money Supply and Credit Growth

During H1 FY18, most of the key monetary aggregates remained broadly in line with the programmed paths outlined in the Monetary Policy Statement for FY18. In December 2017, broad



Source: Bangladesh Bank.

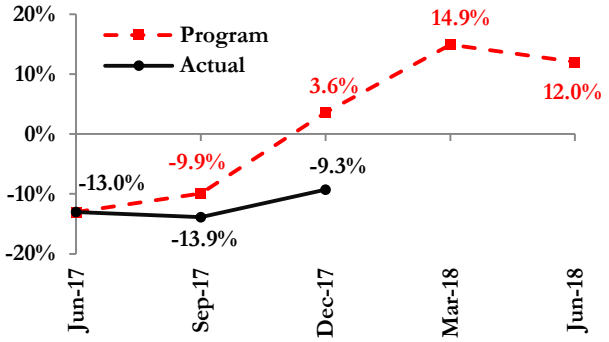
money (M2), domestic credit (DC), and reserve money (RM), the key aggregates of monetary policy framework, grew by 10.7, 14.5, 13.3 percent, respectively, remaining below or close to the program targets (12.9, 14.5, and 12.8, respectively).



Source: Bangladesh Bank.

These outcomes of the aggregate anchors of the monetary policy helped moderate inflationary pressures. The widening current account deficit also had a contractionary impact on the growth of monetary variables through net foreign assets, which grew by 0.5 percent in December 2017, down from 18.5 percent a year ago. Growth of net domestic assets of banking system stood at 14.4 percent in December 2017, below the programmed ceiling of 15.1 percent by end-December 2017,

Chart: Public Sector Credit Growth

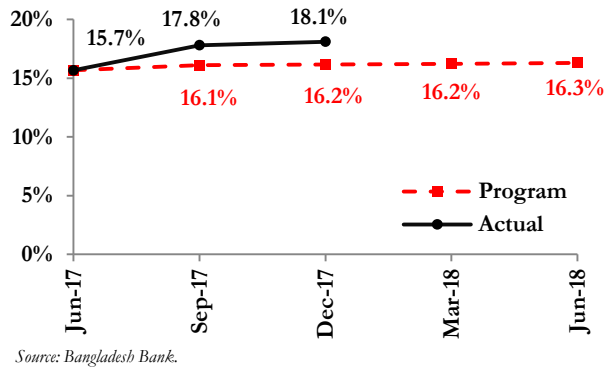


Source: Bangladesh Bank.

driven by a decline in credit to the public sector, a result of government paying off its credit through proceeds from the larger-than-planned sales of NSCs.

Private sector credit experienced a robust growth of 19.1 percent in November 2017, before moderating

Chart: Private Sector Credit Growth



Source: Bangladesh Bank.

to 18.1 percent in December 2017, exceeding the programmed growth of 16.2 percent. The sectoral credit growth data available up to September 2017 suggest that the recent surge in private sector credit growth appears to be broad-based; industry, trade, commerce, and construction contributed the most to the growth.

Table: Sectoral Growth of Private Sector Credit

(Y-o-Y Growth in %)

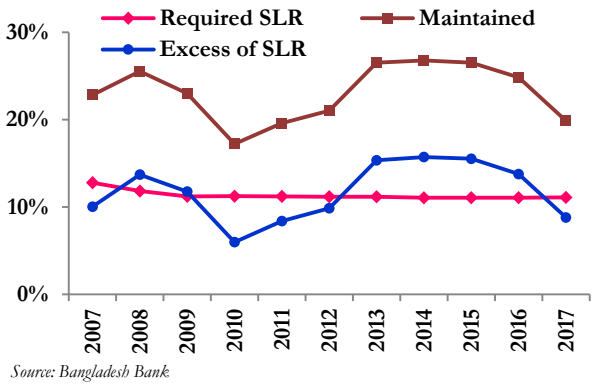
Sector	Sep-16	Dec-16	Mar-17	Jun-17	Sep-17
Agriculture, Fishing and Forestry	11.3	9.9	12.1	9.9	11.0
Construction	17.6	28.3	14.1	20.2	21.6
Consumer Finance	12.7	14.2	15.3	4.6	6.7
Industry	16.8	14.7	17.3	18.3	21.4
Trade & Commerce	13.6	11.6	15.3	16.4	18.7
Transport	11.7	16.1	0.8	8.0	27.0
Other Institutional Loan	30.2	37.2	18.7	27.4	25.3
Miscellaneous	38.2	51.1	22.5	13.3	-6.3
Grand Total	**15.4**	**15.1**	**15.8**	**16.2**	**18.6**

Source: Bangladesh Bank

Banks where credit growth have surged, exceeding prudent levels, will continue to be subjected to closer scrutiny. Due to large project-related imports of construction and industrial raw materials, credit demand rose sharply, as reflected in the L/C openings being closely related to the credit growth. As the lumpy L/C openings taper, credit growth appears to be moderating from its recent peak in November 2017.

The recent pick-up in credit growth is moderating the ratio of excess of SLR assets to Total Demand and Time Liabilities (TDTL), often referred to as "excess liquidity," reaching around 9 percent in December 2017. The divergence between credit

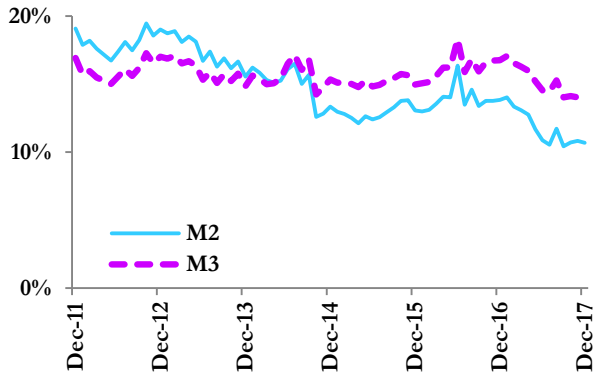
Chart: Liquidity as a % of TDTL



Source: Bangladesh Bank

and deposit growth raised the average ADR from 73.9 percent in FY17 to 75.9 in December 2017, although there is significant variation within the system. Although deposit growth has steadily moderated in recent years and contributed to a lower growth of M2, financial deepening continues apace as reflected in the relatively higher growth of

Chart: Growth of M2 vs M3

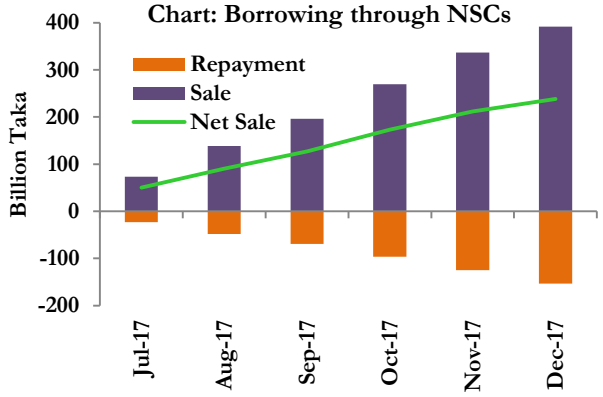


Source: Bangladesh Bank.

the broader monetary aggregate of M3 (over 14 percent in November 2017, around the levels observed in recent years), which includes government resources procured through NSCs. Higher interest rates on NSCs contributed to the shift in the composition of the liability structure of the banking system.

To further improve output and employment impacts of credit, BB has strengthened its supervision so that credit is allocated to the creditworthy borrowers and productive purposes. Bangladesh Bank has also intensified on-site and off-site supervision to mitigate any institution-specific or system-wide risks.

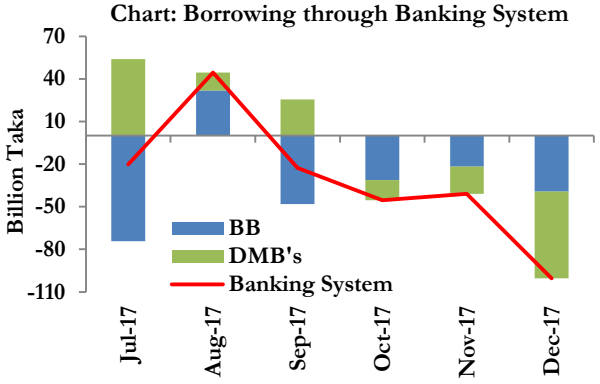
Chart: Borrowing through NSCs



Source: National Saving Directorate.

During H1 FY18, as in the recent years, domestic financing of fiscal deficit has been primarily through NSCs available on tap. Instead of borrowing from the banking system, higher net sales of NSCs were used to pay off the bank borrowing, raising fiscal expenditures, complicating government's market development agenda, as non-market instruments are crowding out the market-based T-bills and T-bonds.

Chart: Borrowing through Banking System



Source: Bangladesh Bank.

It also constrains the downward rigidity of financial market interest rates and the effectiveness of monetary policy transmission channels. Market rate-linked rationalization of NSC pricing coupled with enhanced monitoring to ensure that NSCs reach the target groups and within their respective stipulated limits remains a priority.

The table below summarizes the key monetary aggregates, outcomes, and projections for FY17 and FY18.

Table: Monetary Aggregates

(Y-o-Y growth in%)

Item	Actual		Program	
			Jul-17 MPS	Jan-18 MPS
	Jun-17	Dec-17	Jun-18	Jun-18
Net Foreign Assets	11.5	0.5	5.4	0.1
Net Domestic Assets	10.7	14.4	16.9	17.9
Domestic Credit	11.2	14.5	15.8	15.8
Credit to the public sector	-13.0	-9.3	12.0	8.3
Credit to the private sector	15.7	18.1	16.3	16.8
Broad money	**10.9**	**10.7**	**13.9**	**13.3**
Reserve money	**16.3**	**13.3**	**12.0**	**12.0**

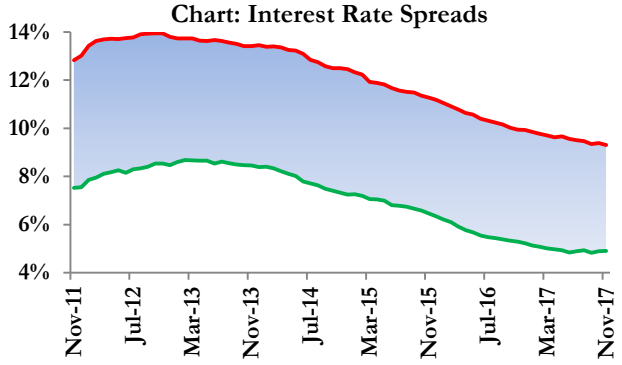
Source: Bangladesh Bank

Policy Interest Rates

The intermediation spreads in recent months have narrowed, declining from 4.7 percent in June 2017 to 4.4 percent in November 2017. The tightening of spreads partly reflects the gradual creep up of deposit rates as banks' demand for additional funding rose from higher credit growth. As mentioned in the previous monetary policy statement, BB's supervisory oversight also strongly dissuaded banks from squeezing the interest on bank deposits, given the pricing power of the banks

in many developing economies, where markets are fragmented and competition is limited.

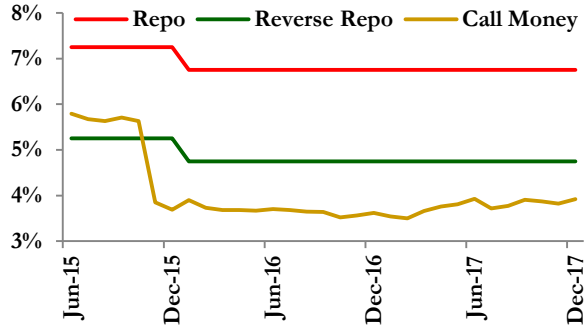
Chart: Interest Rate Spreads



Source: Bangladesh Bank.

BB's monetary policy stance and measures have helped avoid volatilities in the call money market. During July-December 2017, the average volume of transaction in the call money markets increased by Taka 475 billion, up by over 40 percent from that of July-December 2016, reflecting a relatively active call markets. During 2017, call money rates have been on an upward trend, as credit growth outpaced deposit growth, "excess liquidity" moderated, and global monetary tightening continued. As this

Chart: Call Money and Policy Rates



Source: Bangladesh Bank.

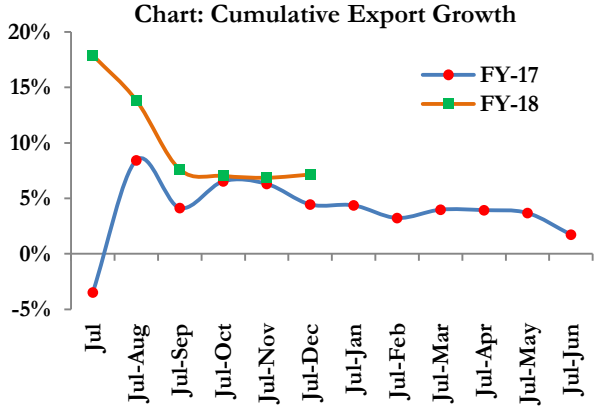
dynamics plays out, call money rates are expected to edge up and be within the interest rate corridor set by repo and reverse repo rates.

Balancing the growth and inflation risks in Bangladesh, against the backdrop of a relatively moderate global inflation, and elevated domestic inflation risks and expectations, Bangladesh Bank has decided to keep policy rates unchanged at their current level, with repo rate at 6.75 percent and reverse repo at 4.75 percent. However, as in the previous policy cycles, BB closely monitors the inflation dynamics and reviews the policy rates on a continuous basis and remains ready to take actions promptly. The decision to leave the policy rate unchanged has also taken into consideration that the key monetary aggregates (M2, DC, and RM) remain below or close to the monetary program targets and can address the emerging risks.

External Sector Developments and Outlook

During July - December 2017, export growth picked up from 1.7 percent in FY17 to 7.2 percent and remittance witnessed a broad-based improvement, up by 12.5 percent from negative 14.5 percent a year ago. But strong import growth, at over 27 percent during July-November 2017, widened trade and current account deficits. The current account deficit was largely compensated by favourable financial accounts, with higher foreign direct investment and medium- to long-term loans (MLTs).

Chart: Cumulative Export Growth

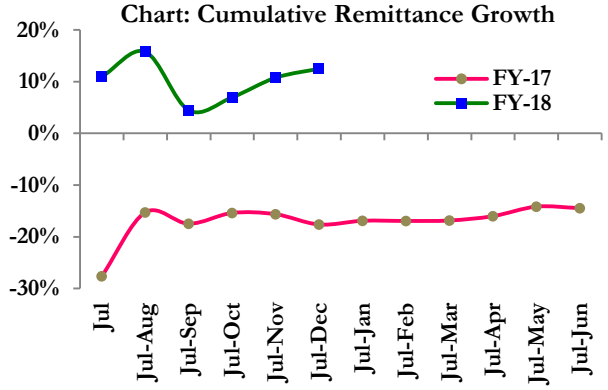


Source: Export Promotion Bureau.

Looking ahead, garments exports are expected to benefit from stronger growth in the main export destinations and greater product and market diversifications, including into non-traditional but larger markets such as India and China. Import growth is expected to moderate as the lumpy large infrastructure-related and food imports taper during H2 FY18. The pick-up in remittance inflows reflects a confluence of factors: preventive and punitive steps against the abuse of mobile phone accounts in illegal hundi operations, reduced bank fees and charges, better rates for the inflows due to the recent depreciation, a rebound in economic

activities in the Middle Eastern countries from higher oil prices, and a record (decade high) number of workers (around 1 million) going abroad in 2017.

Chart: Cumulative Remittance Growth



Source: Bangladesh Bank.

Favourable financial account dynamics is expected to finance the widened current account, driven by high import growth and projected at around 1.5 percent of GDP in FY18. A summary of the balance of payments projections for FY18 is shown below.

Table: Balance of Payments Highlights

In million US$

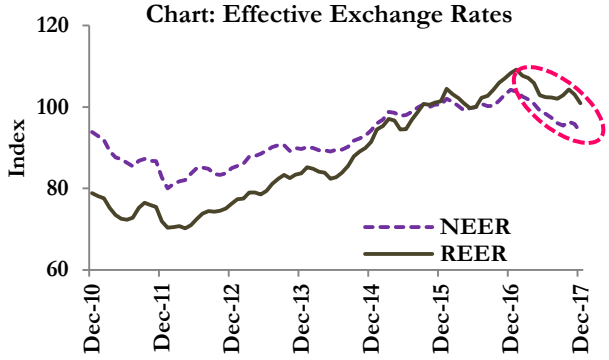
Major Items	Actual		Outlook
	2015-16	2016-17	2017-18
Trade balance	-6,460	-9,472	-13,104
Services	-2,708	-3,284	-3,540
Primary income	-1,915	-2,007	-2,175
Secondary income	15,345	13,283	14,478
of which: Workers' remittances	14,717	12,591	13,724
CURRENT ACCOUNT BALANCE	4262	-1480	-4340
Capital account	464	314	450
Financial account	944	4126	4283
Errors and omissions	-634	209	0
OVERALL BALANCE	5036	3169	393

Source: Bangladesh Bank.

Foreign Exchange Rate and Reserves

The shift in current account dynamics from the large surpluses of recent years to a deficit from investment- and food-related imports has reversed the appreciation pressure but instead exerted downward pressures on the foreign exchange rates. In line with the market forces, Taka vis-à-vis USD depreciated by 2.5 percent in H1 FY18. Given the nominal depreciation of Taka and the movement of USD against other major currencies, during 2017, nominal effective exchange rate (NEER) and real effective exchange rate (REER) depreciated by 10 and 7 percent, respectively, providing additional support to competitiveness. To avoid any large volatilities given the foreign exchange market

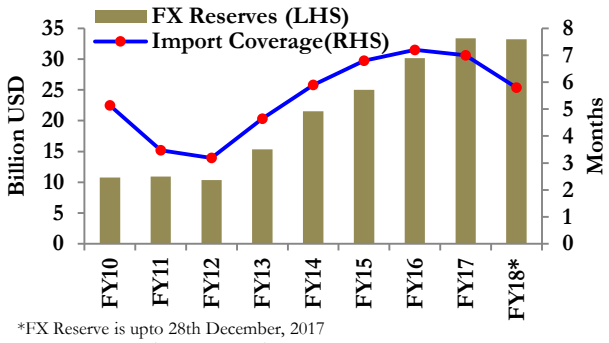
Chart: Effective Exchange Rates



Source: Bangladesh Bank.

structure, during H1 FY18, Bangladesh Bank sold USD 1.1 billion to meet the increasing demands for foreign currency in the local market. Import coverage of foreign exchange reserve, at USD 33.2

Chart: Forex Reserve and Import Coverage



*FX Reserve is upto 28th December, 2017
*Import Coverage is upto November, 2017
Source: Bangladesh Bank.

billion or around 6 months of imports in December 2017, remained adequate. However, the experience of many emerging market economies has shown that maintaining adequate reserve coverage is critical to fostering foreign exchange market, financial and external stability, foreign investor confidence, and FDI inflows, especially during the middle income transition.

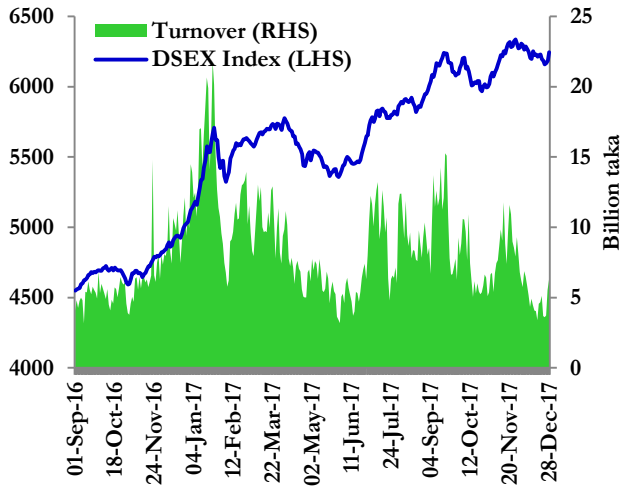
Given the seasonal patterns and the lumpiness of recent imports, it is anticipated that import growth is likely to moderate during H2 FY18 as food production improves. The mega projects in the public sector would largely be financed through the reciprocal receivables from the foreign sources, which would moderate foreign exchange market pressures. Furthermore, BB's enhanced export development fund (EDF) and Green

Transformation Fund (GTF)-based import financing allocation has been increased by USD 700 million to provide additional supply of foreign currency. Measures are being taken to get banks more proactively engaged in mobilizing foreign savings of Non-resident Bangladeshis (NRBs) by promoting sales of government's Wage Earners' Development Bonds, and also in attracting NRB portfolio investments in Bangladesh capital markets by opening and managing Non-resident Investment Taka Accounts (NITAs) in their names. Besides augmenting inflows in the forex market, these will also help increase equivalent Taka liquidity in the financial and capital markets. With the improving inflows both through the current and financial accounts and the adequate import coverage of reserves, depreciation pressure on Taka is expected to ease in H2 FY18.

Capital Market

Stock market prices, measured by the DSE broad index (DSEX), rose by more than 10 percent and 24 percent since June 2017 and December 2016,

Chart: DSEX Index and Turnover

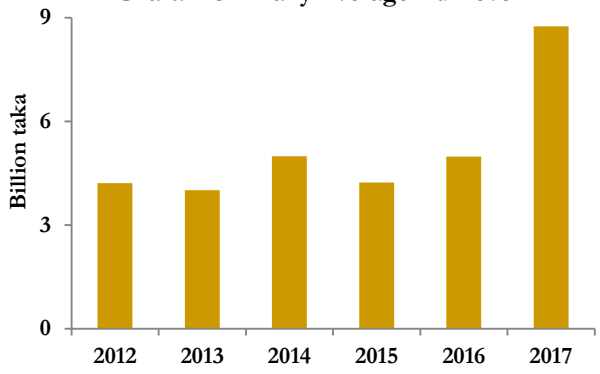


Source: Dhaka Stock Exchange.

respectively, reaching their recent highs. Market liquidity, measured by the DSE turnover, doubling since 2016, recorded the highest level in 2017 since the large stock market corrections in 2010-11.

The buoyant trading activities benefitted from participation by overseas investors and positive macroeconomic outlook. While BSEC oversees the capital markets, Bangladesh Bank's surveillance of the statutory limits of capital market exposures

Chart: DSE Daily Average Turnover



Source: Dhaka Stock Exchange.

contribute to capital market development agenda and financial stability. In addition to the equity transactions, recent examples of non-financial corporates raising funds by issuing long-maturity bonds in the capital market will signal and encourage a much-needed shift from bank loans to capital markets for longer-maturity financing and help deepen the bond markets and contribute to a balanced development of the financial system.

Updates on Market Development and Monetary Management Initiatives

Bangladesh Bank for some time now has taken various measures, initiatives, and programs to promote a socially responsible financing ethos. This agenda was designed with a view to fostering social cohesion by nudging finance to address the long-term deeper needs of the society and by avoiding short-termism and risks that have ultimately jeopardized financial stability across countries and over time. By promoting financial inclusion, creating more and better jobs (including in SMEs, agriculture and green initiatives) and protecting the environment in our densely populated society, the agenda remains critical for Bangladesh in reaching the Sustainable Development Goals by 2030. Bangladesh Bank's ongoing work on developing the Guidance Note on the do's and don'ts of the socially responsible finance coupled with the adoption of the National Financial Inclusion Strategy would help better prioritize, coordinate, monitor, and implement the sustainable finance

agenda. Recent experiences suggest that enthusiastic participation by the financial institutions at the field level will be important to raise the awareness of the agenda, increase its ownership and impact. Bangladesh Bank will continue to deepen the engagement of individual institutions to embrace the sustainable finance agenda at the field level. To support green financing, the $200 million Green Transformation Fund (GTF) has recently approved its first financing which would set a precedence for similar projects, which can help export-oriented textile and leather manufacturing industries implement environment-friendly initiatives and minimize the environmental costs of growth.

Improving service delivery in education, health, and finance through technology startups will be important for innovations that can help promote the inclusive growth agenda. BB already initiated dialogues with investors and startup entrepreneurs on how best to foster an ecosystem comprising venture capital providers and angel investors. BB will be happy to work with the capital market regulators and other stakeholders to better nurture the ecosystem.

With to view to supporting the transition of the monetary framework to an interest-based system, BB has prioritized its research and forecasting agenda to develop the essential ingredients for a price-based monetary framework. The upcoming Monetary Policy Review will share analytical findings on Bangladesh's potential output, effectiveness of monetary targets, inflation expectations and dynamics, real interest rate behavior, liquidity management, and real estate price index. To further improve market surveillance and monetary policy communication, BB has introduced an additional round of monetary policy consultation meetings with the market participants on the functioning of the financial markets and the existing transmission channel frictions.

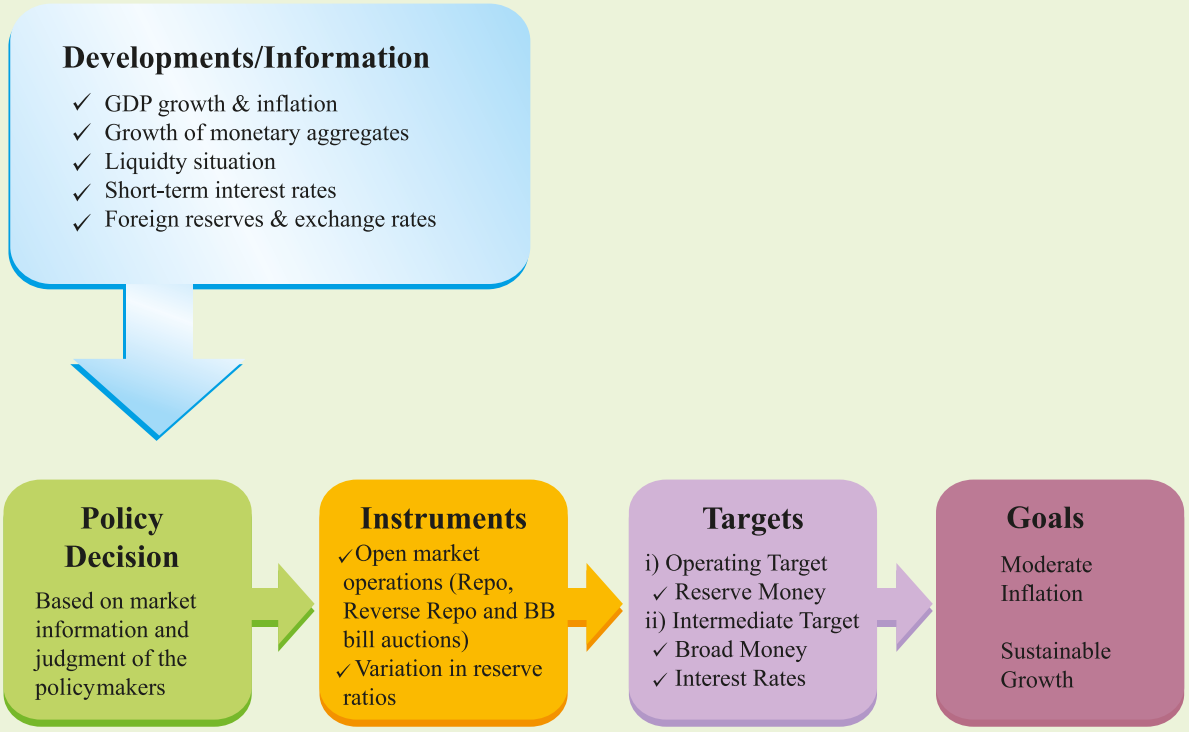
Monetary Policy Implementation Risks and Challenges

Compared to H1 FY18, growth outlook is more on the upside from higher exports, remittance, and private sector credit growth, while inflationary risks are higher from heightened domestic inflation expectations, spillover from food to non-food, exchange rate pass-through effects on local prices, and global prices. Fiscal risks from providing support to the influx of the Rohingya refugees remain minimal for now, given the participation and assistance from the development partners. Although broader monetary policy targets (M2, DC) have been redesigned cautiously to support growth while balancing inflationary risks, vigilance and continuous monitoring is required as the monetary program and economic developments unfold.

Developing the bond markets - government and corporate - will make the monetary transmission channels more functional through changes in the policy rates and financial policy measures onward to longer-term rates. In this respect, market rate-linked rationalization of NSC pricing remains an important priority.

Among other monetary transmission frictions, high NPLs make lending rates downward sticky and less sensitive to the monetary policy actions; higher corporate leverage can constrain the monetary policy space, and investment demand. In this context, instituting appropriate procedures for debt resolution mechanism is critical. BB is encouraging banks to get rated by internationally reputable credit rating agencies, which can help improve competition and governance, and market access. Finally, continued improvement in intensive and intrusive supervision that can upgrade corporate governance and lower concentration risks and NPLs would support a more efficient monetary policy transmission mechanism.

Monetary Policy Framework



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Published by : G.M. Abul Kalam Azad, General Manager, Department of Communications and Publications,
Bangladesh Bank, Head Office, Motijheel, Dhaka-1000, Bangladesh
Printed by : Olympic Products Printing & Packaging, 165, Arambagh, Dhaka-1000.

DCP-01-2018-900